Harbor Street Coffee: second location brief

A fictional brief written for the Knovum sample Space. The company, figures and addresses are invented.

Summary

Harbor Street Coffee has outgrown its only shop. Morning queues now pass the door on most weekdays, and roughly one customer in five leaves without ordering. This brief compares one candidate site, the former bookshop at 41 Mill Lane, against staying in place for another year.

The recommendation is to open at Mill Lane if the landlord confirms the rent-free period described in the lease extract on page 3.

Foot traffic

A two-week count in September recorded about 4,200 passers-by per weekday at Mill Lane, against 3,100 at the current shop. The university campus accounts for most of the difference, so traffic falls by about a third during the summer break.

Weekend traffic at Mill Lane is weaker: about 2,300 people per day, because the nearby offices are closed.

Costs and break-even

The fit-out is estimated at 86,000 euros, including 31,000 euros for the espresso bar and equipment. Monthly fixed costs at Mill Lane are projected at 14,500 euros once rent is payable.

With an average ticket of 6.40 euros and a gross margin of 68 percent, the shop needs about 111 orders per day to cover its fixed costs. At the projected 190 orders per day the fit-out is paid back in month 14.

Risks

- Summer demand: the campus break could push July and August below break-even.

- Staffing: two experienced baristas would move from the current shop, which needs replacements hired before opening.

- Competition: a national chain has applied for a licence 200 metres from Mill Lane.

LEASE EXTRACT - 41 MILL LANE

Clause 4. Rent

4.1 The annual rent is 62,400 euros, payable monthly in advance.

4.2 The tenant pays no rent for the first five months of the term (the rent-free period), starting on the date the keys are handed over.

4.3 The rent is reviewed every three years against the consumer price index.

Clause 7. Break option

7.1 The tenant may end this lease on the third anniversary of the term by giving six months written notice.

Signed for the landlord: M. Okafor
Date: 12 September